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The Myth of the Perfect Organization

Why repeated reorganizations often move complexity rather than remove it

Does the perfect organization exist?

When growth slows, costs rise or decisions take too long, changing the organization can seem like the logical answer. A new structure promises clearer accountability, better coordination and a fresh start.

Yet every structure solves some problems while creating others. A matrix can improve coordination, but make it harder to know who has the final say. Functional structures deepen expertise, but can make it harder for anyone to own the result from beginning to end.

The question is therefore less about finding the perfect organization and more about choosing the trade-offs that best support the strategy—and being prepared to manage them.

What is the reorganization meant to solve?

In one business I worked in, the corporation decided to change its structure in response to concerns about sales growth and costs. Previously, each business had a **Single Business Leader** with full profit-and-loss accountability, supported by a dedicated leadership team covering Sales, Marketing, Finance, R&D, Operations and other relevant functions.

The new model brought those functions together across several business units. **Functional leaders** would now be responsible for their respective areas across the wider organization, rather than within a single product business.

There was a case for making the change. Shared functions might reduce duplication, make better use of expertise and bring more consistency to the way the businesses operated. But the structure alone could not guarantee stronger sales or better cost discipline. Leaders still had to decide where accountability would sit, how priorities would be set and how decisions would be made when the needs of different businesses competed.

The change is recent, so its results remain to be seen. One immediate effect, however, was clear: it unsettled established routines. People had to reconsider their roles and ways of working.

The work beneath the structure

Sometimes a reorganization is necessary. At other times, the problems attributed to the structure are problems in how the business is led: unclear priorities, decisions left unresolved, weak collaboration or accountability that exists on paper but is not exercised in practice.

Moving boxes on an organization chart may redistribute these problems without resolving them. A change in structure delivers its promise only when leaders also change how they work—and help their teams do the same. That means spelling out decision rights, putting the right people in key roles, addressing behaviour that holds the business back and following through after the new chart is announced.

This is often the harder part. People want to understand what is changing, why it matters and what it will mean for them. When those answers are vague, uncertainty grows. When priorities shift or leaders send inconsistent messages, even a sensible transformation can lose credibility.

When change becomes fatigue

Repeated reorganizations can leave people weary, especially when each one arrives with ambitious promises and the underlying issues remain.

In transformations I have led, frequent and transparent communication was essential. People needed to understand the direction, the decisions already made and the questions still open. They also needed to see leaders act consistently with the new model.

In summary, there is no perfect organization.

There may, however, be a structure that better fits the strategy at a particular moment.

Choosing it is only the beginning - the real test is whether leaders tackle the problems that prompted the change—and sustain the behaviours needed to make it work.